TABLE 8.1 Term structure data		
Expiry	**Price**	**Open interest**
14 March 2019	907.50	295,414
14 May 2019	921.50	206,154
12 July 2019	935.00	162,734
14 August 2019	940.25	14,972
13 September 2019	943.50	7,429
14 November 2019	952.00	75,413
14 January 2020	961.50	7,097

The first point in the curve, the closest contract, expires on the 14th of March 2019 (Table 8.1). That contract, the SH9, is currently traded at 907.50 cents per bushel. No, you don't really need to know much about bushels to trade soybeans. The next contract out is the SK9, expiring on the 14th of May the same year, and that's traded at 921.50 cents per bushel.

The SK9 expires 61 days after SH9. If, theoretically, the underlying, cash soybean does not move at all, the SK9 would need to move from 921.50 down to 907.50 in the next 61 days. That makes for a loss of 1.52%. A loss of 1.52% in 61 days, would be the equivalent of an annualised loss of 8.75%.

$$\left(\left((-0.0152+1)^{(365/61)}\right)-1\right)=-8.75\%$$

This gives us a number that we can both relate to and compare across markets and expiration dates. We have a quantifiable, comparable yearly yield number. If we now apply the same logic to that entire table, we will have converted the price curve to an annualised yield curve and now we have something that can be used to create some pretty interesting trading models.

Table 8.2 tells you where on the curve you would theoretically get the best return. But you also need to take liquidity into account. Often you will find that there is a substantial theoretical gain to be made by trading far out on the curve, but that there simply is no liquidity available.

But in this case, we see that there seem to be a nearly 9% negative yield in the May contract, which is the second closest delivery and it seems to